

Customer Retention Strategy Playbook

1. Objective

This playbook provides actionable business recommendations derived from customer segmentation, loyalty analysis, and promotional dependency analysis. The goal is to improve customer retention, increase customer lifetime value, and optimize promotional spending.

2. Ideal Customer Profile (ICP)

The most valuable customers exhibit the following characteristics:

- Customer Segment: VIP Loyalist
- High Loyalty Score
- High Purchase Frequency
- High Purchase Amount
- Low Promotional Dependency
- High Customer Value Score
- Consistent Purchasing Behavior

These customers generate the highest revenue and require retention-focused strategies rather than aggressive discounting.

3. Customer Segment Strategies

VIP Loyalists

Characteristics

- Highest revenue contribution
- Strong loyalty
- Frequent purchases

Recommended Actions

- Exclusive loyalty rewards
- Early access to new products
- Premium membership benefits
- Personalized recommendations

Growth Customers

Characteristics

- Moderate-to-high spending

- Strong growth potential

Recommended Actions

- Personalized offers
- Upselling and cross-selling campaigns
- Targeted retention programs

Bargain Hunters

Characteristics

- Discount sensitive
- Purchase primarily during promotions

Recommended Actions

- Time-limited offers
- Bundle discounts
- Controlled promotional campaigns

Low Engagement Customers

Characteristics

- Low purchase frequency
- Lower engagement levels

Recommended Actions

- Re-engagement email campaigns
- Special win-back offers
- Customer feedback surveys

4. Promo Sunset Plan

To reduce unnecessary discount spending:

Phase 1

- Identify highly loyal customers with high purchase frequency.
- Reduce discount frequency by 10%.

Phase 2

- Replace discounts with loyalty rewards.
- Introduce point-based incentives.

Phase 3

- Shift from mass promotions to targeted campaigns.
- Focus discounts only on high-risk churn segments.

5. Expected Business Impact

Implementation of these strategies is expected to:

- Improve customer retention
- Increase customer lifetime value
- Reduce promotional costs
- Improve marketing ROI
- Strengthen customer loyalty